INTRODUCTION

The balance sheet discloses what an entity owns (assets), what an entity owes (liabilities), and the owners' interest in the net assets of a company (equity) at a specific point in time. While many balance sheet items are reported at historical cost, some items are measured differently, such as at fair value, and some events and transactions—perhaps contrary to analyst's expectations—are not recognized at all. Analysts must be familiar with the different rules and practices for recognition, measurement, and disclosure of balance sheet items to evaluate the liquidity, solvency, and overall financial position of companies. To do so, analysts often compute ratios involving the balance sheet and other financial statements, such as the ratio of debt to operating income or cash flows, which can be compared to other companies and over time.

Learning Module Overview

- Some assets and liabilities are measured at fair value and some are measured at amortized or historical cost. Notes to the financial statements provide information that is helpful in assessing the comparability of measurement bases across companies.
- Intangible assets refer to identifiable non-monetary assets without physical substance. Examples include patents, licenses, and trademarks. For each intangible asset, a company assesses whether its useful life is finite or indefinite.
- An intangible asset with a finite useful life is amortized on a systematic basis over the best estimate of its useful life, with the amortization method and useful life estimate reviewed at least annually. Intangibles are subject to impairment as well, in a similar manner to tangible assets like property, plant, and equipment.
- An intangible asset with an indefinite useful life is not amortized. Instead, it is tested for impairment at least annually.
- For internally generated intangible assets, the International Financial Reporting Standards (IFRS) require that costs incurred during the research phase must be expensed. Costs incurred in the development stage can be capitalized as intangible assets if certain criteria are met, including technological feasibility, the ability to use or sell the resulting asset, and the ability to complete the project.
- The most common intangible asset that is not a separately identifiable asset is goodwill, which arises in business combinations. Goodwill is not amortized; instead it is tested for impairment at least annually.
- Financial instruments are contracts that give rise to both a financial asset of one entity and a financial liability or equity instrument of another entity. In general, financial instruments are measured in two ways: fair value or amortized cost. For financial instruments measured at fair value, the two basic alternatives in how net changes in fair value are recognized are (1) as profit or loss on the income statement, or (2) as other comprehensive income (loss) that bypasses the income statement.
- Common long-term liabilities include loans (i.e., borrowings from banks), notes or bonds payable (i.e., fixed-income securities issued to investors), leases, and post-employment liabilities. Liabilities are usually reported at amortized cost or fair value on the balance sheet.

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- Balance sheet ratios include liquidity ratios (measuring the company's ability to meet its short-term obligations) and solvency ratios (measuring the company's ability to meet long-term and other obligations).

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